

SEPARATE OPINION OF M. ANZILOTTI.

[Translation.]

I find myself, to my great regret, unable to agree to the Court's judgment. Availing myself of my right under Article 57 of the Statute, I wish to subjoin to the judgment a short statement of the reasons for my dissent.

1.—In the first place, I should observe that the question submitted to the Court—a question which in my opinion is solely whether the contract of April 1st/14th, 1913, was regularly entered into—must, in my opinion, be resolved by the application of Article 1 of Protocol XII of Lausanne.

My reason for adopting this point of view is not merely that the Parties have stated that the expression "*dûment intervenu*" in Article 1 of the Special Agreement bears the same meaning as in Article 1 of the Protocol; but also, and more especially, because the question whether Greece is subrogated to the rights and obligations of Turkey, as towards the concessionary firm, is governed by Article 9 of the Protocol; for the application of that Article involves—in accordance with Article 10—the application of Article 1 also, so that the subrogation prescribed in Article 9 can only take place in the case of a concessionary contract which has been duly entered into (*dûment intervenu*), within the meaning of Article 1. I shall return to that point later; for the moment it suffices to point out that the concordant declarations of the two Parties in regard to Article 1 of the Special Agreement were made entirely from the standpoint of Protocol XII, and that the question whether the contract of April 1st/14th, 1913, was, or was not, duly entered into (*dûment intervenu*) can only be debated in relation to Article 1 of the Protocol.

Having made this clear, I can now go on to explain the nature of my dissent from the Court's finding. The Court has held that a concessionary contract was duly entered into (*dûment intervenu*) if it was validly made; having satisfied itself that the contract of April 1st/14th, 1913, was valid, the Court deduces that it was "*dûment intervenu*", and that it is accordingly operative in regard to the Greek Government. My view, on the contrary, is that "concessionary contracts duly entered into" (*dûment intervenus*), within the meaning of Protocol XII, are concessionary contracts in regard to which all the conditions requisite under Ottoman

law for the granting of the concession were fulfilled before the decisive date: the question which the Court had to decide was whether this requirement had been satisfied in the case under consideration.

2.—Taken by itself, the expression "*contrat dûment intervenu*" simply suggests the idea of a "valid contract" or a contract "validly made" (*passé*). No expression must, however, be considered in isolation, but in the context to which it belongs; and it is solely in relation to that context that those who seek to interpret it can determine its true meaning.

The moment the question is looked at from that angle, one begins to feel grave doubts as to whether the expression "concessionary contracts duly entered into (*dûment intervenus*) before the....", in Article 1 of Protocol XII, relates solely to the validity of the contract. No one would have thought of suggesting that Turkey was obliged to maintain contracts that were not valid; the word "*dûment*" would therefore be redundant, and as a fact it does not appear in other clauses of the Protocol, which nevertheless refer, in the same way as Article 1, to contracts that have been validly entered into. But it is a fundamental rule in interpreting legal texts that one should not lightly admit that they contain superfluous words: the right course, whenever possible, is to seek for an interpretation which allows a reason and a meaning to every word in the text.

3.—This consideration might not, by itself, be sufficient ground for concluding that the expression "concessionary contracts duly entered into" (*dûment intervenus*) in Article 1 of the Protocol XII must bear a special meaning, differing from that of contracts validly made.

But the Protocol contains another article which, in my opinion, strengthens this conclusion: I mean the passage in Article 10 making reference to Article 1. Here I believe I am touching on the basic cause of my disagreement with the Court. I wish, therefore, to make my point of view perfectly clear in regard to this point.

Article 10 of the Protocol reads as follows:

"The provisions of Section I of this Protocol, except Articles 7 and 8, will be applied to the contracts referred to in Article 9. Article 3 will only have effect in detached territories where the property or the services of the concessionnaires were utilized by the State exercising authority in such territory."

The chief aim of Article 10 was no doubt to render applicable in cases of subrogation the procedure laid down in

Chapter I of the Protocol for the readaptation of concessionary contracts which the new Ottoman Government undertook to maintain. But that does not alter the fact that Article 10 also makes reference to Article 1, and that it does so in such clear and unmistakable terms that it is really very difficult to ignore them; for not only is the clause couched in general terms, referring to "the provisions of Section I of this Protocol", but it adds the words "except Articles 7 and 8"; and its second sentence particularizes the cases where Article 3 will not have effect.

But this reference is only intelligible if the words "concessionary contracts duly entered into" (*dûment intervenus*) have in view a particular condition with which the contracts must comply in order that the consequences attaching to them under Article 1 may ensue. No one can indeed doubt that, when Article 9 provides for the subrogation of succession States to the rights and obligations of Turkey in regard to the beneficiaries "under concessionary contracts entered into (*passés*) before", etc., these words must be understood as meaning contracts that were validly made. It follows that, if the expression "concessionary contracts duly entered into (*dûment intervenus*) before", etc., in Article 1 had the same meaning and import as the expression "concessionary contracts entered into (*passés*) before...." in Article 9, the reference in Article 10 to Article 1 would be devoid of all meaning.

The position is entirely different if Article 1, in requiring that concessionary contracts shall have been "duly entered into" (*dûment intervenus*), has in view a condition peculiar to those contracts. In that case the effect of the reference in Article 10 is to subordinate the subrogation prescribed in Article 9 to the same condition as that to which Article 1 subordinates Turkey's obligation to maintain concessionary contracts entered into before October 29th, 1914.

In these circumstances it appears to me inadmissible, in interpreting this text, to be content with the view that the reference to Article 1 in Article 10 of the Protocol is an oversight, and may be disregarded. The first duty of those who construe this text is to consider whether it is not possible and reasonable to interpret the expression "concessionary contracts duly entered into (*dûment intervenus*) before", etc., in Article 1 of the Protocol in such a manner that the reference made to this Article in Article 10 preserves its reason and its effect.

It is only if it should be found impossible or unreasonable to attribute to the expression "contracts duly entered into (*dûment intervenus*) before", etc., in Article 1, a wider significance than that of the expression "contracts entered into (*passés*) before", etc., in Article 9, that one would be justified

in declaring that the passage in Article 10 which refers to Article 1 is devoid of meaning, and may be disregarded. That, in my opinion, is the correct method of interpreting legal texts.

4.—Accordingly, Protocol XII contains precise indications which lead one to conclude that the "concessionary contracts duly entered into (*dûment intervenus*) before October 29th, 1914", are concessionary contracts subject to a particular condition, and that this condition is not, or is not necessarily, the simple validity of the contract.

On the other hand, there is nothing in Protocol XII to show what condition the contracting Parties had in view when they spoke of concessionary contracts duly entered into (*dûment intervenus*) before a certain date.

It is only natural to suppose that this condition must be connected with the special nature of concessionary contracts; but it is equally evident that that does not materially help us to interpret Article 1.

In these circumstances, and as the text does not itself give the information which would enable one to determine the true intention of the Parties, I think it is necessary to have recourse to the preparatory work. It is upon the basis of that preparatory work that we must decide, either definitely to reject the idea that Article 1 of the Protocol had in view anything else than the mere validity of the contracts, or to determine what the contracting Parties intended when they stipulated the maintenance of concessionary contracts "duly entered into (*dûment intervenus*) before October 29th, 1914".

5.—The "Draft Protocol relating to concessions" which the Allies submitted to the Turkish delegation, and which formed the basis of the discussions at Lausanne, began with two articles worded as follows:

"I.—Concessionary contracts, and subsequent agreements relating thereto, duly entered into before October 29th, 1914, between the Ottoman Government or any local authority, of the one part, and nationals (including companies) of the Allies, of the other part, are maintained if they are being applied, or have begun to be applied.

II.—Contracts and agreements in regard to which all the formalities have not yet been fulfilled are nevertheless considered valid, and are maintained if they have, by mutual agreement, begun to be applied, or if they have formed the subject of an arrangement between the Ottoman Government and an Allied Government involving an advantage for Turkey." (*Proceedings of the Lausanne Conference*, 2nd Series, Vol. I, p. 423 [French text].)

At the meeting on July 7th, 1923, Ismet Pasha declared that Turkey agreed that the treatment to be accorded to concessionnaires should be settled at Lausanne, in cases where the negotiations between the said concessionnaires and the Turkish Government had led to no result. He continued:

"It is of course understood that the companies in question are those which held concessionary contracts before the World War, and that these contracts had been duly entered into. In the case of concessions in regard to which all the formalities had not yet been fulfilled at the outbreak of the War, the Turkish delegation is unable to agree to the Allied arguments claiming their confirmation." (*Op. cit.*, p. 411.)

Ismet Pasha's declarations led General Pellé, one of the French Government's delegates, to make a reply, the following extract from which appears to be not without interest:

"General Pellé said he understood that the Turkish delegation was willing to discuss the rights of companies which had not yet been able to reach an agreement with the Angora Government, provided that such discussions only extended to concessions which were duly entered into before the declaration of war, and in respect of which all the prescribed formalities had been fulfilled. These reservations of the Turkish delegation were evidently directed to the second Article of the Draft."

Having thus defined the sense in which he understood the declaration of the first Turkish delegate, General Pellé went on to say that Article 2 of the Draft related to certain agreements entered into in 1914, which the French Government regarded as valid, and which had been violated by the Turkish Government who had granted to another group a concession which had been previously given to a French group; for the French delegation, he said, would press for the retention in the Protocol of a clause covering the agreements of 1914 (*op. cit.*, p. 415).

It will be seen from the foregoing that the draft Protocol prepared by the Allies and submitted to the Turkish delegation already drew a clear distinction between concessionary contracts in respect of which all the formalities had been fulfilled before the War, and other concessionary contracts the formalities connected with which had not all been fulfilled on October 29th, 1914. The former were "maintained"; the latter were "nevertheless considered as valid, and maintained".

It will also be noted that the Turkish delegation was unwilling to recognize concessionary contracts in respect of which all the formalities had not been fulfilled at the outbreak of war, and that it was here that the divergence

commenced, for the Allies, though not placing the latter category of contracts on the same footing as the former, insisted on the insertion of a special clause in the Protocol covering certain agreements which were precisely in that situation.

An agreement was subsequently reached by a compromise which found expression in Article 2 of the Protocol : that Article covers two of the concessions which Turkey regarded as invalid because all the formalities in respect of them had not been fulfilled when the war broke out, but which the Allies nevertheless desired to preserve ; it took the place of Article II in the draft submitted by the Allies.

It follows that Article 1 relates solely to concessionary contracts in respect of which all the formalities required by the Ottoman law had been fulfilled before October 29th, 1914 ; it is these contracts—and these alone—which are described, in contrast to the contracts dealt with in Article 2, as “concessionary contracts duly entered into (*dûment intervenus*) before October 29th, 1914”.

In the draft Protocol submitted by the Allies, the distinction between the two categories of contracts was clearly brought out by the difference in the wording of Article I and Article II. Later, Article II ceased to be of a general character, and only dealt with two particular concessions ; on the other hand, the word “*dûment*” which Ismet Pasha had used at the meeting on July 7th was now inserted in Article I to show clearly that the concessionary contracts which that Article referred to were contracts in respect of which all the formalities required under Ottoman law had been fulfilled before the decisive date. A study of the preparatory work places it beyond doubt that this is the significance to be attached to the expression “concessionary contracts duly entered into (*dûment intervenus*) before October 29th, 1914”, in Article 1 of Protocol XII : namely, that these are concessionary contracts, in respect of which all the formalities required under Ottoman law for the granting of the concession had been fulfilled before that date.

The special character of public utility concessions, the effect of which is to transfer the exercise of governmental functions and powers to individuals, amply explains why the authors of Protocol XII were not satisfied with the mere existence of a valid contract, but also required that such a contract should have been accompanied by all the necessary formalities. It is of no importance for this purpose whether these formalities preceded the contract, or accompanied it or were to be fulfilled subsequently, if the formalities in question are those requisite for the granting of the concession which forms the subject of the contract.

6.—If concessionary contracts “duly entered into” (*dûment intervenus*), within the meaning of Article 1 of Protocol XII, are not only contracts validly made (*passés*), but contracts in respect of which all the formalities required under Ottoman law for the granting of the concession have been fulfilled by the decisive date, the reference in Article 10 becomes perfectly intelligible. The effect of this reference is that the subrogation of the succession States to the rights and obligations of Turkey, as towards the concessionnaires, in accordance with Article 9, only occurs in the case of concessionary contracts in connection with which all the requisite formalities had been fulfilled before the date laid down in this Article, in each of the respective contingencies provided for in this Article.

Moreover, this result is undeniably a just one. Since, under Article 1, Turkey secured the advantage that the Government of the Grand National Assembly would not have to continue to support the burden of certain of the concessions granted under the old régime, it would have been, to say the least, singular if the same advantage had not been extended to the succession States, who were forced to respect in their own territories concessions granted by another State.

Again, the very notion of subrogation, which underlies Article 9 and according to which the succession State replaces Turkey in so far as concerns the rights and obligations ensuing from the contract, would seem to require that the concessions in question must be concessions in regard to which nothing remained to be done at the date when subrogation was to take place. In fact, only in that case could subrogation be effected without modifying the respective positions of the two Parties: it is evident that if there remained any formalities to fulfil which would have enabled Turkey to annul, void or modify the contract, the succession State, being unable to fulfil these formalities in the stead of Turkey, would be more disadvantageously situated; on the other hand, the concessionnaire would be in a more favourable position.

This is certainly the position in the case before us. Under Article 9, Greece would have been subrogated as regards the rights and obligations of Turkey at a time when the Turkish Parliament had not yet ratified the provisional law or decree law of 1913: Greece would thus have been definitely bound by a contract, which Turkey could still cancel or modify; on the other hand, the concessionary company which, at that time, had only obtained a contract, having a provisional character, from the Ottoman Government, would have seen this contract become definitively binding upon the Greek Government. The position would become still more complex and paradoxical, if one considers what is a perfectly possible

contingency, namely, that the Turkish Parliament were subsequently to have refused to ratify the provisional law, or proposed to modify the contract (Art. 9 of the law of June 10th/23rd, 1910, concerning public utility concessions).

7.—The foregoing reasoning shows, in my opinion, that the Court, which was asked to say whether the contract of April 1st/14th, 1913, was "*dûment intervenu*", was not simply called upon to decide as to the validity of that contract, but had also to decide whether the condition mentioned in Article 1 of the Protocol was fulfilled, namely, whether all the formalities required by Ottoman law for the prolongation—to which the contract relates—of the concession, had been accomplished at the date of the coming into force of the treaty whereby the territories were transferred to Greece.

As regards the validity of the contract, I entirely concur in the Court's opinion. I have no doubt that the contract was validly concluded on the basis of the provisional law, or decree law; that no plea of unconstitutionality can be raised before the Court respecting this provisional law, or decree law; and, lastly, that the fact that the ratification by Parliament took place at a date when the territories had already been transferred to Greece in no way affects the validity of the contract.

All this, however, does not exhaust the question.

It remains to ascertain whether the contract of April 1st/14th, 1913, though undeniably valid, also fulfils the condition prescribed by Article 1 of the Protocol. The fact that the Turkish Parliament ratified the provisional law or decree law after the transfer of the territories to Greece, certainly does not affect the validity of the contract. On the other hand, it prevents the contract from being regarded as a contract "duly entered into" (*dûment intervenu*) within the meaning of Article 1 of the Protocol, because one formality required by Ottoman law for the grant of the concession to which the contract relates, namely, the approval or ratification of Parliament, was not fulfilled at the date of the coming into force of the treaty providing for the transfer of the territories.

For, under Article 9 of the Ottoman law concerning public utility concessions, "laws regarding concessions which are submitted to the Chamber and to the Senate may, after consideration of the contracts and other documents annexed thereto, be approved or rejected *in toto*, or returned together with a statement of reasons, should there be grounds for amendments". The powers of Parliament were not, therefore, limited to reviewing the reasons of urgency or necessity alleged by the Government when issuing a provisional law or a decree law; they also extended to the contract itself, which the

Parliament had to examine, with a view to either approving the decree law or provisional law, or to rejecting it, or, again, referring it back, with a statement of grounds, if the Parliament was of opinion that it needed amendment.

8.—The French Government's Agent argued that, according to Article 1 of the Ottoman law of June 10th/23rd, 1910, concerning public utility concessions, the Ottoman Government did not require a law in order to make a contract renewing the lighthouse concession: according to this Agent, a law was only necessary to authorize the Minister of Finance to conclude the loan contract.

Counsel for the Greek Government disputed this view, and contended that the lighthouse concession was one of those which the Ottoman Government could not grant—and consequently could not extend—without the approval of the legislature.

This is a question of Ottoman public law on which I do not wish to express an opinion, especially as I am not in possession of the necessary information. Moreover, I do not believe that there is any need to decide it. It is certain that the provisional law, or decree law, of April 1st/14th, 1913, authorized the Minister of Finance to conclude both the loan-contract and the contract extending the lighthouse concession. Indeed, it may be noted that the law in its first Article is described as a "law concerning the prolongation of the lighthouse concession for twenty-five years" (French Government's Case, Annex 4, p. 46). That being so, parliamentary ratification became a necessity, even if it were assumed that, under Article 1 of the law of June 10th/23rd, 1910, it enabled the executive authority to proceed by another method, and to dispense with the approval of the legislature.

9.—The conclusion to which I have been led may appear to be very rigorous, since it makes the obligation of Greece to respect the lighthouse concession dependent upon the approval of the Turkish Parliament, an approval which that body—so the Court was informed—was never known to refuse. I do not deny that it is so, but I desire to add the following remarks.

This is manifestly a consideration founded rather upon equity than upon law; for it is certain that, in law, the Turkish Parliament was perfectly free to give, or to withhold, its approval. But, in the sphere of equity, there are other considerations that come into play, and restrain the effect of that which has been set forth above.

The whole of Protocol XII is of an exceptional character; but nowhere is that character so clearly revealed as in

Article 9, which accords separate treatment to the Powers—whom it only obliges to respect concessions granted by Turkey before the War—and to the Balkan States—whom it obliges to respect even concessions granted during the War and until the coming into force of the Treaty of Peace. That being so, a strict application of the conditions governing the subrogation referred to in Article 9 is not only in harmony with the rules for the interpretation of texts, but also in conformity with the requirements of equity.

For the foregoing reasons, I am led to the conclusion that the contract of April 1st/14th, 1913, between the French firm Collas & Michel and the Ottoman Government, extending the lighthouse concession from September 4th, 1924, to September 4th, 1949, was not "duly entered into" (*dûment intervenu*), within the meaning of Article 1 of Protocol XII of Lausanne, and is accordingly not operative in regard to the Greek Government, within the meaning of Article 9 of the aforesaid Protocol, so far as concerns lights situated in territories assigned to Greece after the Balkan wars and prior to the Turkish Parliament's ratification of the provisional law, or decree law, which had authorized the conclusion of the contract.

(Signed) D. ANZILOTTI.